MCA Mandatory MSME-1 Filing Rules for Enforcing 45-Day Vendor Payments

Issuing Authority: Ministry of Corporate Affairs, Govt. of India

1. Legal Obligation under Section 405

Pursuant to the Ministry of Corporate Affairs Order, all specified corporate buyers who procure goods or services from Micro and Small Enterprises and whose payments exceed 45 days from the date of acceptance must file a half-yearly return (Form MSME-1) with the Registrar of Companies (ROC).

2. Detailed Reporting of Delayed Dues

Form MSME-1 requires corporate buyers to report: the specific amount due to each micro or small supplier, the date from which the payment has been due, and the specific justification for non-payment. This creates public disclosure of delinquent corporate debtors.

3. Income Tax Disallowance under Section 43B(h)

Under Section 43B(h) of the Income Tax Act, any sum payable to a micro or small enterprise beyond the 45-day deadline (or 15 days in the absence of a written agreement) is disallowed as a business expenditure in the tax year of purchase and can only be deducted in the subsequent year when actual payment is made.

4. Punitive Fines on Defaulting Corporates

Corporate entities failing to file Form MSME-1 or knowingly furnishing false information are liable to a penalty of Rs. 20,000, with continuing penalties up to Rs. 3 Lakhs for officers in default, safeguarding cash flows for MSME suppliers.